

MOBILE MONEY: The Age Of Digital Payments

DEEPSHIKHA SHUKLA

Mobile money is an electronic wallet service that allows users to store, send and receive money using their cellphone

Consumers today demand a higher level of convenience and choice in how they manage payments and transactions. They want speed, round-the-clock access, real-time information, and flawless and secure execution. More than any other technology, mobile banking is driving this revolution.

The mobile money model entails providing financial services such as payments and banking, transferring money or paying for goods and services through a mobile device. Using this solution, money can be transferred almost anywhere, even when there are no banks nearby, increasing accessibility in rural areas. It enables cashless payments, reduces dependency on cash and allows tracking of transaction records.

A digital wallet is a virtual wallet that stores all contents in a digitised format and allows easy payments and other money-related transactions. It can hold money, coupons, loyalty points, value and membership cards.

Basics of a mobile money platform

In this system, cardholders can access their account information, check balances and transfer funds easily using their cellphones. In addition, they can self-manage activities and monitor fraud with specialised alerts. The system operates as a Back-end as a Service model from a secure cloud, with offerings such as:

1. Automated user and merchant onboarding
2. e-Wallets
3. Card payments acquiring and clearing for merchants
4. Affiliates management
5. e-Shop integration
6. Payment switch
7. Closed- and open-loop card scheme management
8. Mobile money and mobile banking
9. Peer-to-peer loans
10. Remittance solutions

The target audience in a mobile money model are banks, mobile network operators (MNOs), payment gateway providers, payment processing agents, payment platform providers, mobile subscribers and customers.

There are various transaction modes in this model, such as NFC/smart cards, direct mobile billing, mobile Web/WAP payments, SMS, STK/USSD, mobile apps, IVRS and others like Wi-Fi, QR codes and Bluetooth.

Three examples of mobile money solutions are:

Alepo is a complete mobile money solution, which offers functionalities like peer-to-peer (p2p) money transfer, cash-in/cash out (from banks, credit cards and agents), international remittances, merchant payments, government subsidy distribution, enterprise payments, micro-saving, micro-credit, recharge and bill payments, among others.

Obopay offers payment products, solutions, services and business consulting to companies across sectors, such as telecom, banking and retail. The company has played a key role in digitising payments in various countries in Africa (including Uganda, Kenya, Zimbabwe, Tanzania, Cameroon, etc), Latin America, South East Asia and the Middle East. It has handled three billion transactions with zero fraud cases and zero variance. Its Evolys platform is available in 10 languages, such as English, French, Spanish, Arabic and Swahili.

Thailand-based DeeMoney is positioned as a flexible and API-friendly remittance platform for both inbound and outbound money transfer services. Its mobile app has the flexibility to pay for an order in three ways.

1. Bank account (direct debit)
2. K Plus (Kbank mobile banking app)
3. QR/barcode (payment using any mobile banking app, wallet or bank ATM using QR and bill payment platform)

For inbound services, customers can pick up cash at DeeMoney outlets and deposit the same into any bank account.

Fig: 1: Mobile money interface
(Credit: GSMA)

